In this section

Delivering sustainability and ESG

Sustainability and ESG

Sustainability and environmental, social impact and governance (ESG) are embedded in our purpose and reflected in our 3x6 Strategy, detailed on page 13.

Our sustainability strategy, set out on pages 35 to 40, seeks to build a healthier future for people and planet and comprises three missions: Mission Zero, Mission Accelerate and Mission Regenerate.

This strategy is underpinned by actions across a wider range of ESG topics, including diversity, equity and inclusion, how we look after and care for our people and how we contribute to communities where we operate, addressing the risks of modern slavery and ensuring strong governance and business ethics.

For more information on People & Culture, see pages 28 to 33.

Oversight of sustainability and ESG

The Board sets the sustainability strategy and closely monitors progress as a Board and through the Board Sustainability Committee. Details of how the Board has considered sustainability, including ESG matters, is set out in the Section 172(1) and Engagement Statement on page 44. More information about the Board's governance in respect of sustainability starts on page 78.

On a day-to-day basis, the Sustainability Steering Committee, a management committee comprising senior and executive leaders from across different functions and Market Units, reviews progress on sustainability, oversees reporting, and finalises recommendations to the Group CEO, Chief Executive's Committee, Board Sustainability Committee and the Board.

For more information on sustainability governance structure: bupa.com/sustainability

Additional information on sustainability and ESG governance can be found in the Taskforce on Climate-related Financial Disclosures (TCFD) on page 43.

Our sustainability strategy

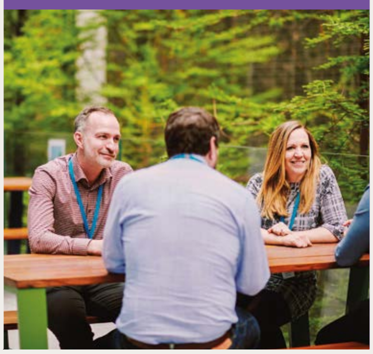
Mission 2040

Our mission to build a healthier future for people and planet

Mission Zero

Reducing the environmental impact of healthcare.

For more information, see pages 36-38.



Mission Accelerate

Accelerating innovative solutions to the biggest health-related sustainability challenges.

For more information, see page 39.

Mission Regenerate

Helping restore the health of our planet.

For more information, see page 40.

Sustainability and ESG continued

Mission Zero

Reducing the environmental impact of healthcare

Objective

To provide healthcare solutions for a healthy future for people and the planet by 2040.

We are focused on:

- decarbonisation of our own operations, supply chain, and healthcare provision
- digitalisation of our products and services
- delivery of sustainable healthcare.

KPI

By 2040 we will be a net zero business, underpinned by 1.5 degree aligned science-based targets (SBTs) across all three emission scopes.

Targets

1. Reduce our scope 1 and 2 (market-based) greenhouse gas (GHG) emissions across our global operations by at least 40% by 2025 from 2019 baseline.
2. Reduce scope 1 and 2 GHG emissions across our global operations by at least 46.2% from 2019 baseline and become net zero across scope 1 and 2 by 2030.
3. Reduce scope 3 emissions by at least 63% by 2034 from 2019 baseline.
4. Achieve SBTs in corporate bonds, loans and equity by 2025, from a 2020 base year.
5. Become a net zero business across all scopes by 2040.

For more information on Mission Zero: bupa.com/sustainability

Pathway to decarbonisation

In 2023, we made significant progress to drive down direct emissions across our Market Units and indirect emissions associated with the electricity and energy we buy, known as scope 1 and scope 2 emissions. We increased our use of renewable energy to 90% for our global business and 100% in our APAC Market Unit.

For our scope 3 emissions, which refer to the emissions we are indirectly responsible for, up and down our value chain, we completed a comprehensive inventory and identified our focus areas for emission reduction activity. These include reducing emissions from: the goods and services we purchase, the health treatments we fund for our customers, the investments we make, business travel and travel undertaken by our patients and customers to appointments.

Our reduction targets are ambitious. We acknowledge that reaching these goals may prove increasingly difficult and costly as we address more complex markets and infrastructure. We will continue to publish transparent progress on our carbon emission reduction activity.

Further information on our decarbonisation approach can be found in our GHG Emissions Performance, page 37.

Reducing emissions from purchased goods and services

During 2023, we expanded our sustainable procurement programme to address emissions and reduce our exposure to climate risk in our supply chain. We set targets and ambitions to support Mission Zero and developed our ESG due diligence in supplier onboarding. Engagement is critical to our approach as we look to partner with our suppliers to understand their sustainability plans, key targets, alignment with external initiatives, such as the Science-Based Targets initiative (SBTi), inclusion and diversity approach, and to test Bupa’s supply chain maturity regarding action on net zero and ESG.

We undertook focused activity with our largest technology suppliers, increasing the proportion of our technology spend with those suppliers aligned to our net zero ambition from 31% in 2022 to 63% in 2023, exceeding our target for the year by three percentage points. We will continue these efforts and increase our alignment target in 2024.

Sustainable healthcare

We use the term sustainable healthcare to describe a system that meets the health needs of the present, without compromising the health of future generations – delivering high-quality care in an affordable way, while minimising the impact on the environment. In 2023, we identified and began to develop a number of opportunities to reduce the environmental impact of the care that we fund, particularly by reducing emissions associated with anaesthetic gases across our global businesses and from waste reduction. We also continued efforts to digitalise healthcare to reduce emissions associated with patient claims and patient travel.

Responsible investment

We ensure that our sustainability strategy and ESG considerations are incorporated in all investment decision-making and we prohibit investments in certain sectors. Our Responsible Investment Policy seeks to help finance the transition to a low-carbon economy and favours investment counterparties that have set SBTs, thereby enabling us to lower the emissions profile of our corporate bond portfolio over time (see target 4 of Mission Zero).

For more information, see our Responsible Investment Statement: bupa.com/financials

Sustainability and ESG continued

2023 Group and UK operations GHG emissions footprint

In accordance with the Streamlined Energy and Carbon Reporting (SECR) requirements for a large unquoted UK company, we report our UK-based energy usage and GHG emissions. In addition, we publish the Group's 2023 energy consumption and GHG emissions compared with full year 2022, and 2019, our base year, to show progress against our interim scope 1 and 2 GHG emissions reduction target of 40% by 2025. We will publish our detailed full-year 2023 GHG emissions report covering scope 1, 2 and selected scope 3 (category 3 - fuel- and energy-related activities, and category 6 - business travel) later in 2024 on bupa.com following external limited assurance. Our full-year 2023 GHG emissions report will reflect our most up-to-date GHG emissions position, including actual fourth quarter activity data which, in part, has been estimated in this report, predominantly based on previous consumption trends.

We adopt the operational control approach, meaning we account for 100% of emissions from business locations over which we have control. Under this approach, control is considered where we have the authority to introduce and implement operational policies. In accordance with the GHG Protocol's guidance on dual reporting, we report scope 2 GHG emissions using both the location- and market-based approach. Our GHG emissions reporting criteria can be found at bupa.com/sustainability/sustainability-documents, and sets out the basis of preparation of our scope 1 and 2 and selected scope 3 (category 3 and category 6) GHG emissions.

Market-based GHG emissions performance

Group

In 2023, the Group's scope 1 and 2 (market-based) GHG emissions of 66,896 tCO_2e decreased by 11,063 tCO_2e, or 14%, compared with last year (2022: 77,959 tCO_2e). Scope 1 emissions were stable compared with 2022. The reduction in anaesthetic gas emissions following the elimination of the use of nitrous oxide (N_2O) in a number of our Spanish hospitals and lower natural gas consumption partly as a result of decarbonisation initiatives have been offset by an increase in refrigerant gas losses experienced in our Australian aged care business and our provision business in Chile.

Scope 2 emissions were lower year on year by 11,102 tCO_2e, or 36%, due to switching additional sites onto renewable electricity in Poland, Australia, Chile and Mexico as well as the one-month carry-over benefit following the implementation of an Australian Power Purchase Agreement in February 2022. In addition, we secured 100% renewable electricity in our Hong Kong business from January 2023. This has resulted in the increased proportion of renewable electricity consumption compared with last year by 6 percentage points to 90% (2022: 84%). From January 2023, APAC operations ran on 100% renewable electricity.

Our total selected scope 3 emissions increased this year by 8,091 tCO_2e to 42,690 tCO_2e (2022: 34,599 tCO_2e) due to higher business travel emissions. Business travel emissions remained lower than 2019 by 14%.

UK operations

Our 2023 scope 1 and 2 (market-based) GHG emissions were lower by 838 tCO_2e or 5% to 17,033 tCO_2e (2022: 17,871 tCO_2e). Scope 1 emissions decreased by 535 tCO_2e primarily reflecting the optimisation of our building management systems and the replacement of air handling units at the Cromwell Hospital. In the fourth quarter of 2023, we also commenced switching our kitchens facilities from gas to electric across our care home portfolio. Scope 2 emissions reduced by 303 tCO_2e. The proportion of renewable electricity consumption in the UK increased by 2 percentage points to 97% (2022: 95%) mainly driven by switching additional dental centres onto renewable electricity together with the carry-over benefit of switching the Group's head office onto renewables in October 2022.

Our total selected scope 3 emissions increased by 2,941 tCO_2e to 12,317 tCO_2e (2022: 9,376 tCO_2e) mainly due to higher business travel. Business travel emissions remained lower than 2019 by 18%.

Additional GHG emissions reduction and energy management activities

Throughout 2023 we continued to drive GHG emission reduction across all our Market Units including an increase in the use of renewable electricity. in addition to the decarbonisation activity described in this section we continued efforts to increase sustainable digital transformation to reduce emissions associated with patient claims and patient travel. These initiatives included the digitlisation of radiodiagnostic tests, the use of intraoral scanners (dental), and video consultations in Chile and Sanitas.

Sustainability and ESG continued

Group	Unit	2023	2022	2019	Inc/(Dec) % change vs. 2022	Inc/(Dec) % change vs. 2019
Total energy usage[1]	kWh	484,155,360	484,570,894	508,743,037	– %	(5)%
GHG emissions[2]						
Scope 1	tCO_2e	47,103	47,064 [3]	49,444 [4]	– %	(5)%
Scope 2						
Market-based	tCO_2e	19,793	30,895 [3]	72,061 [4]	(36)%	(73)%
Location-based	tCO_2e	97,011	98,446 [3]	108,541 [4]	(1)%	(11)%
Total scope 1 and 2 (market-based)	**tCO_2e**	**66,896**	**77,959** [3]	**121,505** [4]	**(14)%**	**(45)%**
Total scope 1 and 2 (location-based)	**tCO_2e**	**144,114**	**145,510** [3]	**157,985** [4]	**(1)%**	**(9)%**
Scope 3						
Fuel- and energy-related activities (category 3)	tCO_2e	26,916	27,065	28,939	(1)%	(7)%
Business travel (category 6)	tCO_2e	15,774	7,534	18,429	109 %	(14)%
Total selected scope 3 (category 3 and 6)	**tCO_2e**	**42,690**	**34,599** [3]	**47,368** [4]	**23 %**	**(10)%**
Total reported market-based emissions	**tCO_2e**	**109,586**	**112,558** [3]	**168,873** [4]	**(3)%**	**(35)%**
Total reported location-based emissions	**tCO_2e**	**186,804**	**180,109** [3]	**205,353** [4]	**4 %**	**(9)%**
% of renewable electricity	%	90%	84%	54%	6 ppt	36 ppt
Energy intensity	kWh per customer	14.45	15.37	18.90	(6)%	(24)%
Market-based scope 1 and 2 GHG emissions intensity metrics[5]						
	tCO_2e / £m revenue	4.43	5.54	9.87	(20)%	(55)%
	tCO_2e / 000's customers	2.00	2.47	4.51	(19)%	(56)%
	tCO_2e / average employees	0.77	0.96	1.56	(20)%	(51)%
Location-based scope 1 and 2 GHG emissions intensity metrics[5]						
	tCO_2e / £m revenue	9.53	10.33	12.83	(8)%	(26)%
	tCO_2e / 000's customers	4.30	4.61	5.87	(7)%	(27)%
	tCO_2e / average employees	1.65	1.78	2.03	(7)%	(19)%

UK operations (SECR)	Unit	2023	2022	2019	Inc/(Dec) % change vs. 2022	Inc/(Dec) % change vs. 2019
Total energy usage[1]	kWh	146,449,691	150,897,055	163,830,698	(3)%	(11)%
GHG emissions[2]						
Scope 1	tCO_2e	16,420	16,955 [3]	20,408	(3)%	(20)%
Scope 2						
Market-based	tCO_2e	613	916 [3]	1,200	(33)%	(49)%
Location-based	tCO_2e	11,688	11,196 [3]	14,938	4 %	(22)%
Total scope 1 and 2 (market-based)	**tCO_2e**	**17,033**	**17,871** [3]	**21,608**	**(5)%**	**(21)%**
Total scope 1 and 2 (location-based)	**tCO_2e**	**28,108**	**28,151** [3]	**35,346**	**– %**	**(20)%**
Scope 3						
Fuel- and energy-related activities (category 3)	tCO_2e	6,479	6,806	5,897	(5)%	10 %
Business travel (category 6)	tCO_2e	5,838	2,570	7,114	127%	(18)%
Total selected scope 3 (category 3 and 6)	**tCO_2e**	**12,317**	**9,376** [3]	**13,011**	**31%**	**(5)%**
Total reported market-based emissions	**tCO_2e**	**29,350**	**27,247** [3]	**34,619**	**8%**	**(15)%**
Total reported location-based emissions	**tCO_2e**	**40,425**	**37,527** [3]	**48,357**	**8%**	**(16)%**
% of renewable electricity	%	97%	95%	94%	2 ppt	3 ppt
Energy intensity	kWh per customer	20.69	24.11	26.83	(14)%	(23)%
Market-based scope 1 and 2 GHG emissions intensity metrics[5]						
	tCO_2e / £m revenue	4.02	4.65	6.50	(14)%	(38)%
	tCO_2e / 000's customers	2.41	2.86	3.54	(16)%	(32)%
	tCO_2e / average employees	0.69	0.77	0.95	(10)%	(27)%
Location-based scope 1 and 2 GHG emissions intensity metrics[5]						
	tCO_2e / £m revenue	6.64	7.33	10.64	(9)%	(38)%
	tCO_2e / 000's customers	3.97	4.50	5.79	(12)%	(31)%
	tCO_2e / average employees	1.13	1.21	1.55	(7)%	(27)%

1. Total energy usage includes scope 1 and 2 consumption and car hire and private cars used for business purposes (scope 3, category 6). Conversion factors issued by the UK Government's Department for Energy Security and Net Zero Business (DESNZ) are applied to convert distance travelled data to kWh. Actual consumption is captured from a variety of sources including meter readings, supplier reports and supplier invoices where actual or estimated consumption is provided. Where actual data is not available, consumption is estimated based on, but not limited to, previous consumption trends.
2. Scope 1 (direct) emissions are from the combustion of fuels as part of stationary sources e.g. natural gas and liquefied petroleum gas, and from combustion of fuels in company-owned and leased controlled mobile combustion sources, e.g. company vehicles. Release of anaesthetic gases from medical procedures and refrigerant losses are also included. Scope 2 (indirect) emission sources are from purchased electricity and district heating and cooling. Our reported selected scope 3 (indirect) emissions are from i) category 3: well-to-tank and transmission and distribution (T&D) losses associated with scope 1 and scope 2 energy consumption and ii) category 6: business travel which includes air and train travel, taxis, car hire and employee vehicles (business mileage only). Other scope 3 'value chain' categories will be published in due course. A number of emission factor sets are used in the calculation of GHG emissions including DESNZ, International Energy Agency (IEA) and the Australian Clean Energy Regulator (CER).
3. Independent limited assurance provided by PricewaterhouseCoopers LLP for 2022 Group and UK Operations scope 1, 2 and total selected scope 3 (category 3 and 6).
4. Independent limited assurance provided by The Carbon Trust for 2019 Group scope 1, 2 and selected scope 3 (category 3 - T&D losses only and category 6). 2019 data has been updated following external assurance mainly to reflect a number of divestments and acquisitions.
5. As reported in the Group's annual report - Group revenue (2023: financial statements: Note 2), total average employees (financial statements: Note 2.3.1) and customer numbers (excluding our associate businesses). UK operations reflects BGUK revenue and customer numbers. UK Operations average employees includes BGUK and Group Functions. 2022 GHG emissions revenue intensity metrics for Group and UK Operations have been restated for IFRS 17 - Insurance Contracts.

Sustainability and ESG continued

Mission Accelerate

Accelerating innovative solutions to the biggest health-related sustainability challenges

Objective

To innovate and bring influence, research and advocacy, working with others, to deliver net zero, patient-centric health systems in a sustainable way.

KPI

By 2025 we will have engaged 500 start-ups and other key innovation partners to deliver at least one scalable sustainable healthcare solution per year and share these insights with our partners.

For more information on Mission Accelerate: bupa.com/sustainability

eco-Disruptive

In 2023, we continued to bring Bupa employees, entrepreneurs and start-ups together to tackle sustainability challenges within our business and the health sector through our internal talent and sustainability innovation programme, eco-Disruptive. Our goal is to find and support scalable start-ups where we can add value to their sustainability solutions. Applications were received from over 270 start-ups, with 18 shortlisted to work with us to develop a minimum viable product. The 2023 winner was UniSCool, an innovative team that has developed a liquid cooling solution for hot spots on microchips. This technology can help to reduce the energy used by electrical appliances, including medical equipment – it also has the potential to increase the performance and life of this equipment. UniSCool received £200,000 to continue to develop its solution, while all participating start-ups benefited from access to Plug and Play, a global start-up innovation platform.

We also convened entrepreneurs, colleagues, investors, media, sustainability partners and healthcare professionals at Bupa's first ever eco-Disruptive Live event in London, a one-day immersive celebration of collaboration and sustainability innovation.

During 2023, we continued to work with the 2022 winners of eco-Disruptive, Cassava Bags Australia, which produce 100% natural, biodegradable and compostable bags and other products made from the cassava plant, by piloting a programme to reduce the use of plastic across a number of Bupa Dental practices around Australia.

For more information on eco-Disruptive: bupa.com/sustainability

Advocacy and coalitions

In 2023, we joined the Sustainable Markets Initiative – Health Systems Taskforce, a coalition of healthcare companies working together to lead the decarbonisation of the healthcare sector.We continued to work with Health Care Without Harm, an international non-governmental organisation (NGO) driving the sustainable transformation of the healthcare sector, and took part in the first sustainable healthcare-focused Race to Zero Global Gathering.

We also became the official 'health partner' for the Norman Foster Institute Programme on Sustainable Cities, an initiative launched in 2023 by the Norman Foster Foundation. Our aim is to use our clinical insights to put health at the centre of how urban environments are designed, especially in a changing climate. We launched a white paper on 'Healthy and Resilient Cities' in partnership with The Lancet Countdown, the Norman Foster Foundation and C40 Cities at the United Nations Climate Change Conference of Parties (COP 28).

Across our businesses, we undertook local advocacy work on climate, nature, and health. For example, in Poland we launched the Healthy Cities Index with the Warsaw School of Economics. This index ranks Poland's cities and towns according to core characteristics that are most important to provide the best living conditions, with the ambition of helping best practice to be rolled-out to more communities across the country. In Chile and Spain, we collaborated with the Jane Goodall Institute to deliver One Health workshops to over 5,000 students to help teach them about how our health and nature are interlinked. Our Bupa Global Latin America business expanded its 'Footprints of Change' programme, working with more schools across Ecuador and the Dominican Republic to include nature in their lessons, helping children to make the connection between people and planet health.

For more information on sustainability advocacy: www.bupa.com/sustainability

Above: Participants celebrating at the 2023 eco-Disruptive Live event in London.

Sustainability and ESG continued

Mission Regenerate

Mission Regenerate will help restore the health of our planet

Objectives

- Provide opportunities for people to enhance their physical and mental health through community-based programmes that restore and regenerate the health of the planet.
- Develop and participate in partnerships to bring clinical expertise to drive human health benefits through conserving, restoring, and regenerating nature.

KPI

By 2025 we will support 1 million people each year to improve their physical and mental health by scaling initiatives like our Healthy Cities programme that help restore and regenerate nature.

For more information on Mission Regenerate: bupa.com/sustainability

Healthy Cities

In 2023, we extended our Healthy Cities Challenge, delivering it across Australia, New Zealand, the UK, Egypt, Dubai, Hong Kong, Poland, Mexico, Chile, Brazil, Peru, Dominican Republic, Panama and Ecuador, in addition to Spain, where the initiative originated in 2015. The programme mobilises our people, customers and communities to take part in activities that are good for their health. In turn, Bupa invests in restoring and regenerating urban environments, working in partnership with organisations to help make cities healthier places for people to live and thrive in.

In 2023, 80,000 people, including our employees, customers and community partners, took 10 billion steps as part of the Healthy Cities Challenge, in turn unlocking £2 million in funding for local regeneration projects across the world.

For more information on Healthy Cities: bupa.com/sustainability

Broader ESG action

While our sustainability strategy focuses our action on the three Missions outlined above, we recognise the importance of strong foundational performance on wider ESG topics to underpin this focused action. These include: creating diverse and inclusive environments of belonging, supporting the wellbeing of our people and providing opportunities for meaningful work (for more information see People and Culture on page 28); contributing to communities where we operate, addressing the risks of modern slavery and ensuring strong governance and business ethics.

Bupa's contribution to communities

In 2023, we updated our Community Investment Standard to align with our Mission 2040 sustainability strategy. Our focus remains on investing in community programmes which have co-benefits for human and planetary health. Each Market Unit is also required to have an approach in place to respond to emergencies, such as natural disaster relief.

Following the devastating earthquake in Türkiye in February 2023, we approved a funding package of £3m for humanitarian aid and healthcare through our local business, Bupa Acibadem Sigorta. During the year, we invested a further £12.8 million in our communities, with over £4.4 million of this through the Bupa Foundations.

Community investment has been measured using the Business for Societal Impact Framework, which includes financial donations to charities, funding to the Bupa Foundations in Australia, Spain and the UK, as well as volunteering hours and in-kind support.

We continued our official healthcare partnerships with Paralympic associations in Great Britain, Spain, Poland, Australia, Chile and began sponsorship of the National Paralympic Committee of Mexico. These partnerships support athletes on their journeys to Paris 2024 and beyond and promote greater inclusivity in healthcare and society for people with disabilities.

Above: Shae Graham, Australian wheelchair rugby Paralympian.

Bupa Foundation, Australia and New Zealand

In 2023, in Australia, the Bupa Foundation completed the process of becoming a Health Promotion Charity (HPC) following approval by the Australian Charities and Not-for-Profit Commission and the obtaining of appropriate state government fundraising licences. By becoming an HPC, the Foundation is now able to accept tax-deductible donations from our people, customers, and the wider community, thereby enabling the Foundation to drive greater engagement and expand the impact of its work.

The Foundation Community Grants programme, led by Bupa people, awarded over £200,000 to 41 grassroots community organisations across Australia and New Zealand. The Dr Evelyn Scott Scholarship, now in its sixth year, contributed £54,000 in prizes to support future First Nations leaders in Australia, and continued its support of the Take Heart rheumatic heart disease programme, focused on improving the health of Aboriginal and Torres Strait Islander peoples. In total during 2023, the Bupa Foundation in Australia and New Zealand invested over £1.1 million in partnerships and programmes.

Sustainability and ESG continued

Sanitas Foundation, Spain

In 2023, the Sanitas Foundation continued to advocate for inclusive sport – the joint practice of sports between people with and without disabilities. This included the Inclusive Sport at School initiative in partnership with the Spanish Paralympic Committee, providing resources for teachers, and the release of the documentary '*Power*' following Pincho Ortega, a professional wheelchair basketball player, and his inclusive sport journey.

The Sanitas Foundation also continued its awards recognising medical and nursing professionals, and the project Solidarity in action to provide health assistance for vulnerable people, such as dental care for refugees, psychological support for children in Spain, and a mother and child health support project in Cameroon. During the year the Foundation made financial donations of £1.3 million.

Bupa Foundation, BGUK

In 2023, the Bupa Foundation invested over £1.8m to help create healthier communities, focusing on practical projects which impact both people and planet health.

The Foundation launched a £500,000 'Green Community Grant' programme in partnership with Groundwork, helping over 230 schools and community groups to regenerate local green spaces, directly impacting more than 130,000 people. Through our partner, Trees for Cities, we planted thousands of trees in urban woodlands, housing estates and urban parks across the UK to help improve access to green space, benefit air quality and help prevent surface flooding.

→ For more information on our work in communities: bupafoundation.org

Preventing modern slavery

At Bupa, we recognise our responsibility to help protect, preserve, and promote human rights and are guided by fundamental principles of human rights, such as those in the United Nations Universal Declaration of Human Rights.

→ For more information, see our human rights statement: bupa.com/important-notices/human-rights-statement

In accordance with section 54 of the UK Modern Slavery Act 2015 and the Australian Commonwealth Modern Slavery Act 2018, we publish annually statements setting out the steps taken to prevent modern slavery and human trafficking in our operations and supply chain.

We have a suite of enterprise-wide policies that define our minimum requirements and expectations to ensure compliance with all applicable laws and regulations as well as effective risk management. These include enterprise policies on People, Suppliers and Speak Up. The Bupa Code gives us a simple decision-making framework to help us do the right thing by our people, customers, residents and patients. Our Responsible Supply Chain statement specifically references our expectations that suppliers respect all internationally proclaimed human rights, including the prevention of modern slavery, forced labour, human trafficking and child labour. For more information about the Bupa Code and Responsible Supply Chain statement, see 'Business Ethics and Conduct', below.

In 2023, we refreshed our modern slavery risk assessment of our UK operations and reviewed how modern slavery risk is considered in our supplier due diligence process overseen by Procurement. We deepened our understanding of our supply chain beyond direct suppliers by completing a deep-dive risk assessment of our workwear supply chain. Our Australian business, in partnership with a human rights consultancy, developed a supplier assessment framework (SAF) for use when considering potential modern slavery risk associated with the appointment of new (or the continuation of existing) suppliers. The SAF draws on internationally recognised datasets, with risk indicators including geographic location, sector and procurement category.

To support the development and progression of our anti-modern slavery agenda, we became a corporate member of the UK modern slavery charity, Unseen. We ran internal communications campaigns and delivered targeted training to coincide with Anti-Slavery Day in the UK.

In Australia, we partnered with not-for-profit Anti Slavery Australia to deliver virtual modern slavery training to our Australian Executives and Senior Leaders. We also developed an online modern slavery training module for our people focused on capacity building and practical ways to address modern slavery risk in their business area (including training to support the adoption of the SAF).

Across the Group, our whistleblowing mechanism, Speak Up, makes it easy to report any concerns in confidence and can be used by anyone who has a concern about Bupa, our suppliers or our partners. In 2023, no reports were received through Speak Up relating to modern slavery.

→ For more information on our latest UK modern slavery statement: bupa.com/important-notices/modern-slavery-statement

→ For more information on our latest Australian modern slavery statement: bupa.com.au/about-us/modern-slavery-statement

Business Ethics and Conduct

The Bupa Code

Our Enterprise-wide People Policy makes clear that the Bupa Code is our global standard for employee conduct and that all our businesses have a formal approach to identify and address conduct issues. The Bupa Code is the moral compass for everyone that works at Bupa, empowering us to stand up for what's right for our customers, residents, patients, and for each other. It is integrated across the business into local policies, mandatory training, people processes, including inductions, performance and reward. The Bupa Code is underpinned by our performance management, risk management, governance, and audit processes. Mandatory training is required to be undertaken by all our people, including contractors, covering ethics issues such as Anti-Bribery and Corruption, Information Security, Health and Safety and Risk Management.

→ For more information on the Bupa Code: https://bupa.com/important-notices/bupa-code

Sustainability and ESG continued

Preventing financial crime

We take active steps to ensure that our business, people, and customers are not victims of financial crime, and strive to limit the impact of fraud, whether committed against Bupa, our customers, or the wider communities we serve. The Bupa Code is directly relevant to financial crime risk management, making clear that bribery is prohibited, and our people are required to act in compliance with all applicable laws and regulations. The Code is underpinned by Bupa's Enterprise Policy on Financial Crime Risk, applicable across the Group, which articulates our approach and standards to preventing breaches of economic sanctions, bribery and corruption, fraud, money laundering and tax evasion offences. The Policy is supplemented by key controls including regular risk assessments, risk-based third-party due diligence and training initiatives with oversight and guidance provided by subject matter experts. Ongoing horizon risk scanning activities ensure Bupa responds appropriately to financial crime risks emerging through legislative changes and geopolitical developments. The Bupa Executive Risk Committee oversees the management of all risk types across Bupa, including financial crime risk and other risks relating to business ethics. For more information, see our Prevention of financial crime statement: bupa.com/important-notices/prevention-of-financial-crime-statement

Speak Up

Speak Up is Bupa's whistleblowing service and can be used by anyone who has a concern either about Bupa or individuals/organisations providing goods or services to Bupa. It ensures people can raise genuine concerns about wrongdoing, misconduct, or risk of harm in confidence and anonymously, if preferred. We take concerns seriously and the people who raise them can be confident that they'll be heard, protected from retaliation, and supported. For more information on Bupa Speak Up: www.bupa.com/important-notices/bupa-speak-up

Responsible supply chain

We conduct ESG due diligence when onboarding our suppliers and during the procurement life cycle in accordance with our framework and governance. We expect our suppliers to abide by Bupa policies, fully comply with all applicable laws and regulations and conduct themselves in line with the highest ethical standards. Our Responsible Supply Chain Statement outlines the minimum standards we expect from our suppliers across a range of ESG areas and is reviewed regularly. For more information, see our Responsible Supply Chain Statement: www.bupa.com/important-notices/responsible-supply-chain-statement

Approach to tax

Bupa is committed to complying with tax laws responsibly, ensuring that tax is paid in the jurisdictions in which the Group operates based upon applicable laws and practices. For more information, see Bupa's Approach to Tax statement: bupa.com/important-notices/approach-to-tax

Protecting data and using it responsibly

Our customers and people are at the centre of everything we do at Bupa. Maintaining their trust by ensuring personal data is handled responsibly and securely not only sets the foundation for Bupa's digital transformation ambitions; it's the right thing to do. We are committed to protecting data and using it responsibly. Information security, technology and privacy risks continue to be high on the agenda of the Bupa Board Risk Committee. See pages 76 to 77 for more information.

Cybersecurity threats are growing globally, and threat actors use ever more sophisticated means of targeting organisations. In 2023, we established a strategic project to further enhance our cybersecurity threat response globally, strengthening capabilities across key control areas from vulnerability management to zero trust and security testing. We are also working to enhance Bupa's cyber incident readiness by exercising our response plans to cyber attacks, building our security culture, and developing a group-wide cybersecurity strategy and target operating model to ensure our collective defences continue to be effective. In parallel, each of our Market Units has mobilised a set of initiatives to ensure key controls meet global standards for effectiveness, from Multi-Factor Authentication and Privileged Access Management to crisis simulation and recovery testing.

Compliance and disclosure

Responding to the ESG regulatory reporting landscape

The ESG regulatory landscape continues to evolve at pace with external disclosure requirements extending in scope and complexity. At Bupa, we are constantly horizon scanning to ensure we are prepared to meet our obligations across the different geographies in which we operate.

The two most significant ESG-wide reporting requirements that we expect will impact Bupa, and that we have been focused on preparing for during 2023, are the recommendations set out by the International Sustainability Standards Board and the European Union's Corporate Sustainability Reporting Directive. We have several initiatives under way across the Bupa Group to assess our readiness to report against these requirements and will continue that work during 2024.

In addition, during 2023 we began to prepare the foundation for a comprehensive climate transition plan. Our approach takes into account the recommendations from the UK's Transition Plan Taskforce, which launched its Disclosure Framework in October 2023. We will continue this work during 2024.

Sustainability and ESG continued

Taskforce on Climate-related Financial Disclosures (TCFD)

The following table presents a current view on our actions and intentions in relation to the recommendations of the TCFD.

TCFD recommendation	Details and our progress in 2023 including references to where more information can be found.
Governance	
Describe the Board's oversight of climate-related risks and opportunities	Board engagement and consideration of communities and the environment and its suppliers – Section 172(1) and Engagement Statement on page 45. Board activities during 2023 on page 67 and for considerations by the Board Audit Committee see page 72, Board Risk Committee see pages 76 and Board Sustainability Committee see page 78.
Describe management's role in assessing and managing climate related risks and opportunities	See pages 54 to 56.
Strategy	
Describe the climate related risks and opportunities the organisation has identified over the short, medium, and long term	Climate change – due to its pervasive and cross-cutting nature – has the potential to affect our existing principal risks (e.g. Property, Insurance). We have identified which of our significant risks may be affected – or 'driven' – in part by climate change over the short, medium, and long term. In line with the TCFD recommendations, we present the relevant risk drivers across two different types – **Transition** (i.e. risks resulting from the transition to a lower carbon economy), and **Physical** (i.e. risks resulting from short-term changes in weather patterns and long-term changes in climate). See also Risk Report pages 54 to 56.
Describe the impact of climate risks and opportunities on the organisation's business, strategy, and planning	As a healthcare company, we are particularly aware of the inextricable link between the health of the planet, climate change, human health, and healthcare. Our sustainability strategy provides a framework for the business to focus investment and accelerate action where the business can have the greatest impact. Read more on Bupa's Sustainability Strategy: www.bupa.com/sustainability/sustainability-strategy. Read more on Bupa's Sustainability Strategy: www.bupa.com/sustainability/sustainability-strategy
Describe the resilience of the organisation's strategy taking into consideration different climate related scenarios, including a 2ºC or lower scenario continued	In 2023 we continued to develop our approach to scenario analysis. In our ELA Market unit climate change was included in their local stress testing exercise and the results continue to be used within risk management and response activity analysis along with our disclosure approach. For more information on our scenario analysis work, see page 56.
Risk management	
Describe the organisation's processes for identifying and assessing climate-related risks	We have identified which of our principal risks may be affected by climate change and defined our approach to managing these risks. See pages 54 to 56.
Describe the organisation's processes for managing climate related risks	See pages 54 to 56.
Describe how processes for identifying, assessing, and managing climate related risks are integrated into the organisation's overall risk management	We continue to embed climate risk management into our existing Group-wide Risk Management Framework (RMF) which sets out how we identify, assess, manage, and report on risks. The Group Risk Function is responsible for the oversight of identification and management of financial, and other, risks from climate change throughout the Group. For more information see pages 54 to 56.
Metrics and targets	
Disclose the metrics used by the organisation to assess climate-related risk and opportunities in line with its strategy and risk management process	We use a range of metrics to measure and track our progress against key climate targets. These include year-on-year location and market-based scope 1 and 2 absolute carbon reduction, business travel emissions, customer-based, revenue-based, and average employee-based carbon intensity metrics, and the temperature alignment and carbon intensity of our investment portfolio. We are developing a property Climate Change Risk Register. Once this work is complete, we will be able to better define any climate-related metrics and aggregated risk exposure to weather-related catastrophes of our property.
Disclose scope 1, scope 2 and, if appropriate, scope 3 greenhouse gas emissions and the related risks	We disclose our 2023 scope 1, 2 and scope 3 category 3 (along with category 6 - business travel) GHG emissions for the Group and UK operations on pages 37 to 38. The Group's scope 1 and 2 and selected scope 3 GHG emissions will be subject to external limited assurance later in 2024. We aim to disclose our other scope 3 value chain GHG emissions in due course on bupa.com.
Describe the targets used by the organisation to manage climate-related risks and opportunities and performance against targets	Bupa's ambition to be net zero by 2040 is underpinned by 1.5°C aligned science-based targets across all three emission scopes, including a separate 1.5°C temperature alignment target for our investments. These targets have been validated by the Science Based Targets initiative (SBTi).